

ORACLE

Order Management

Back to Back Fulfillment Process

SCM Cloud Implementation Workshop



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Agenda

- **Overview of Back to Back fulfillment process**
- Application Setups for Back to Back Fulfillment

Overview of Requirement

Functional Scope

- Vision has implemented a full suite of Oracle offerings including HCM, Financials, SCM and CX Cloud.
- Vision has complex requirements across process areas and is requesting the implementation partner to help them with support needed for successful implementation.



Vision Corporation has a strong presence in US, UK and APAC regions with active presence in other countries as well.

They have a diversified portfolio of products like hardware, software, computers and accessories manufactured in house, and procured through suppliers as well.

Key Features Requested

- Vision has a large customer base and allows order capture through various modes
- Vision uses various fulfillment processes to increase the customer satisfaction along with improved margins
- Vision uses back to back, drop shipments, internal material transfers, consigned inventory and contract manufacturing techniques for some of the products it sells

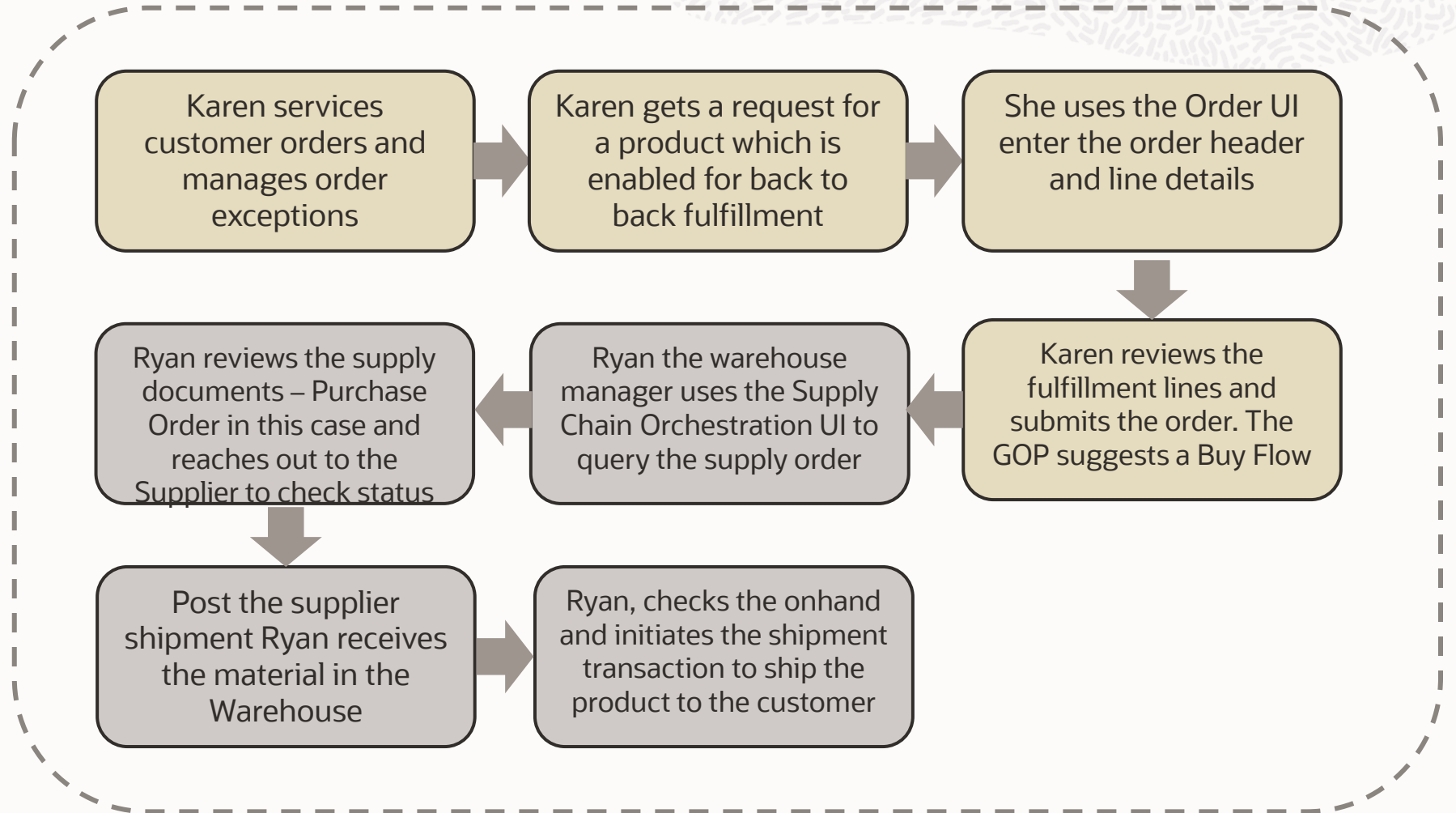
Back to Back Order Processing



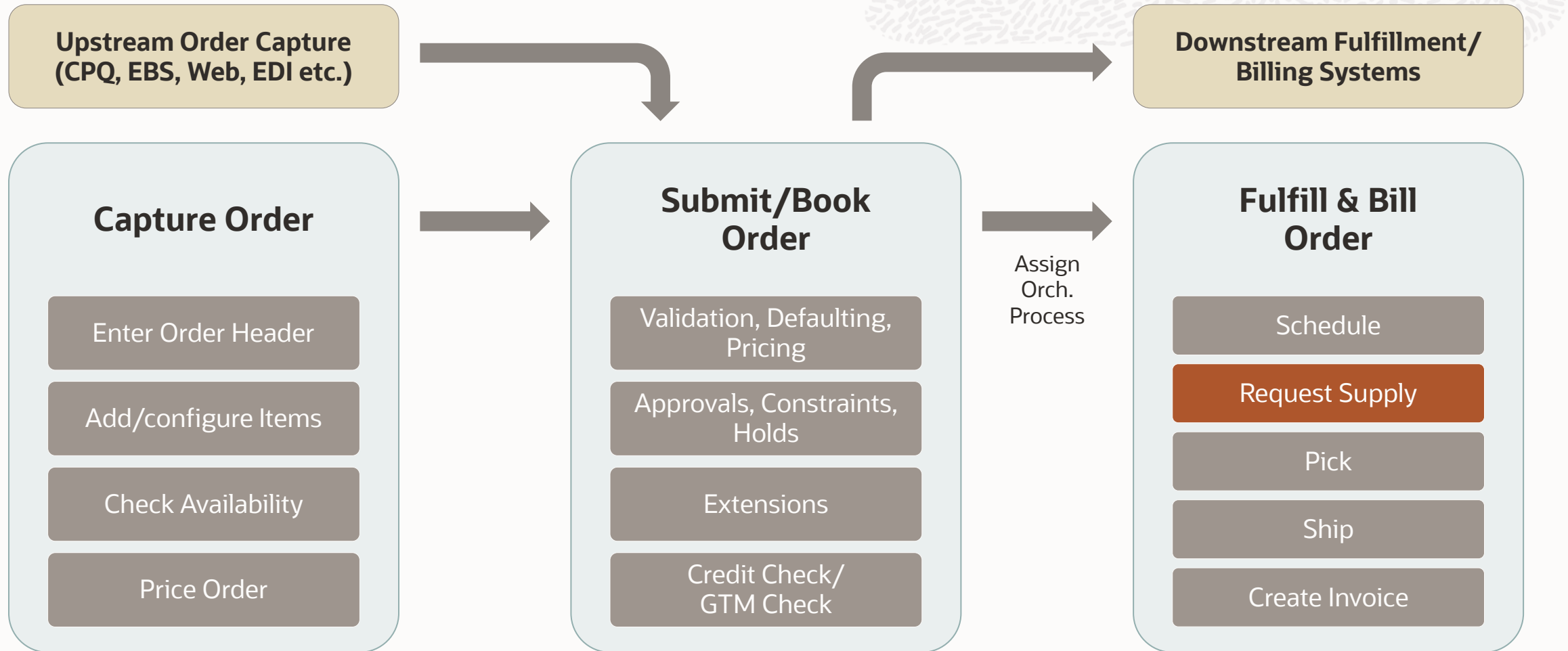
Karen is a customer service representative who creates and configures customer orders.



Ryan is a warehouse manager and he uses Inventory to optimize the flow of materials to staging, picking, packing and shipping



Order to Cash Process – Back to Back Fulfillment



- ✓ Back-to-back fulfillment is where supply is provisioned and then received at a warehouse only after an order is placed.
- ✓ The supply is reserved against a sales order until shipping.
- ✓ Use back-to-back when the item is expensive to maintain as on hand inventory, or when you don't want to use up warehouse space to stock an item that only rarely sells.

Business Benefits – Back to Back fulfillment

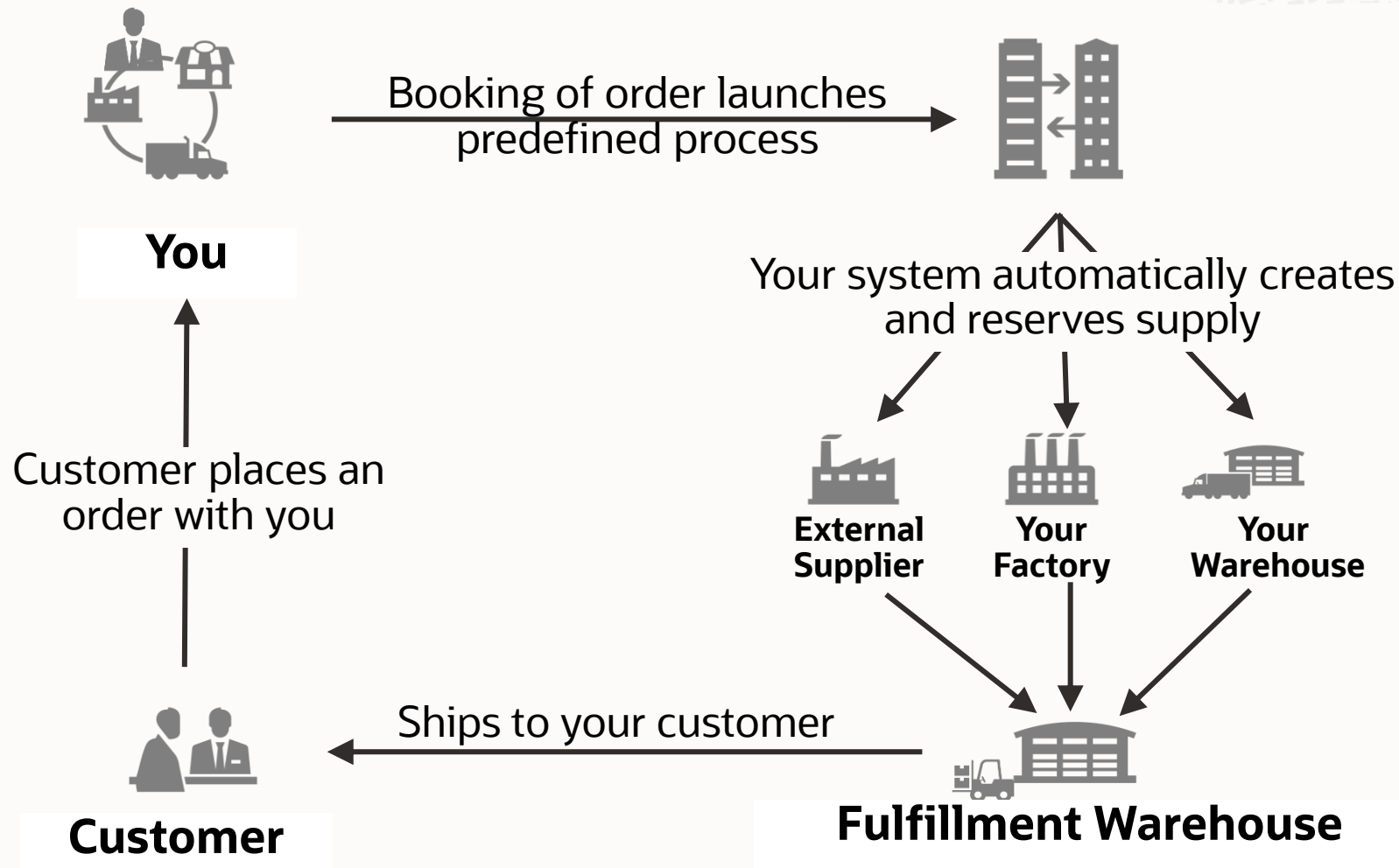
Cost-effective fulfillment for high-cost, non-stocked, slow-moving products

Prevents loss or misallocation of supply

Provides organizations with more centralized control over the fulfillment process

Provides 360 degree visibility of the supply creation and fulfillment process

Back to back flow supply options



Supply Options

Buy – Procurement from an external supplier.

*Supply document - PO

Make – Production in a MFG facility (in-house or contract manufacturing)

*Supply document - WO

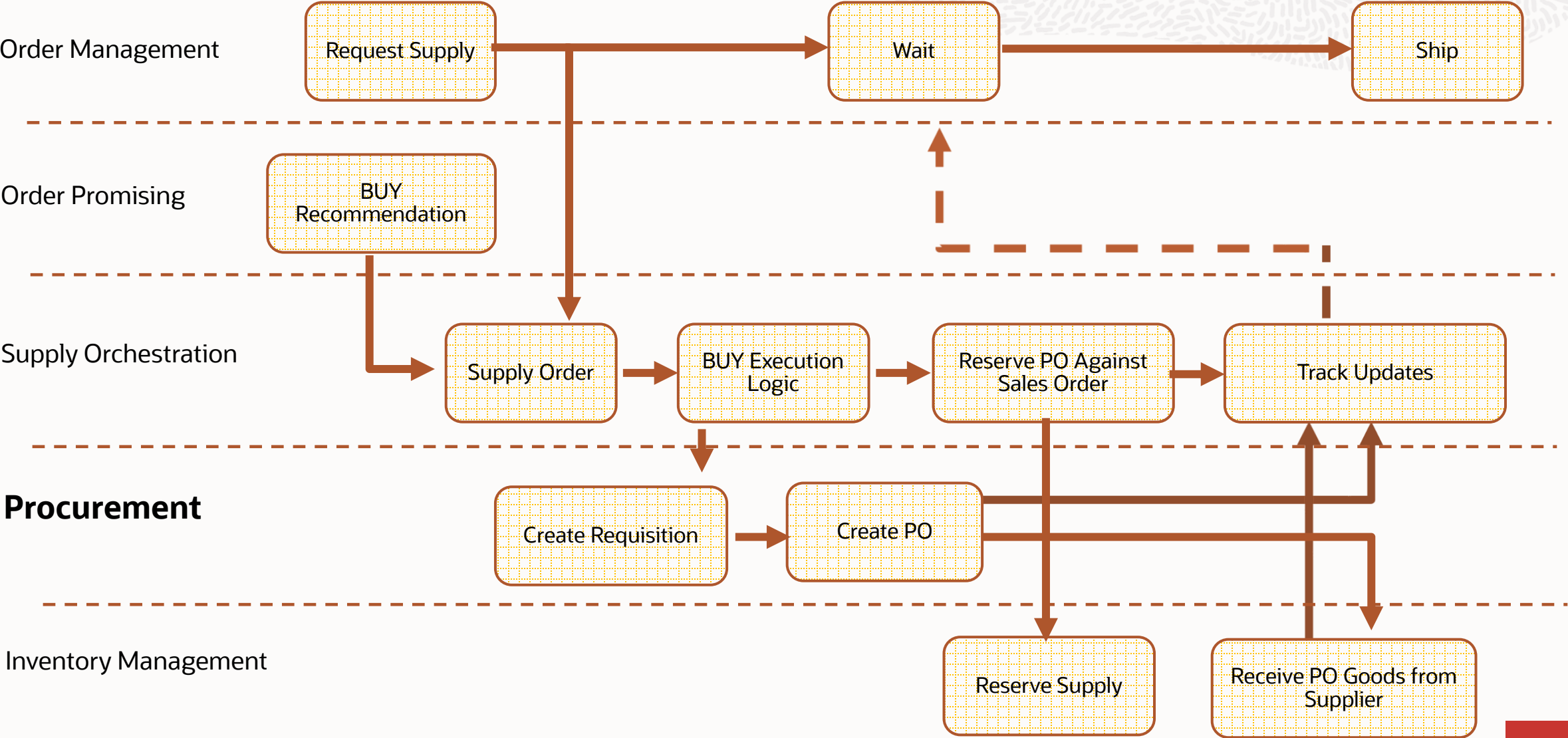
Transfer – Transfer from another warehouse

*Supply document - TO

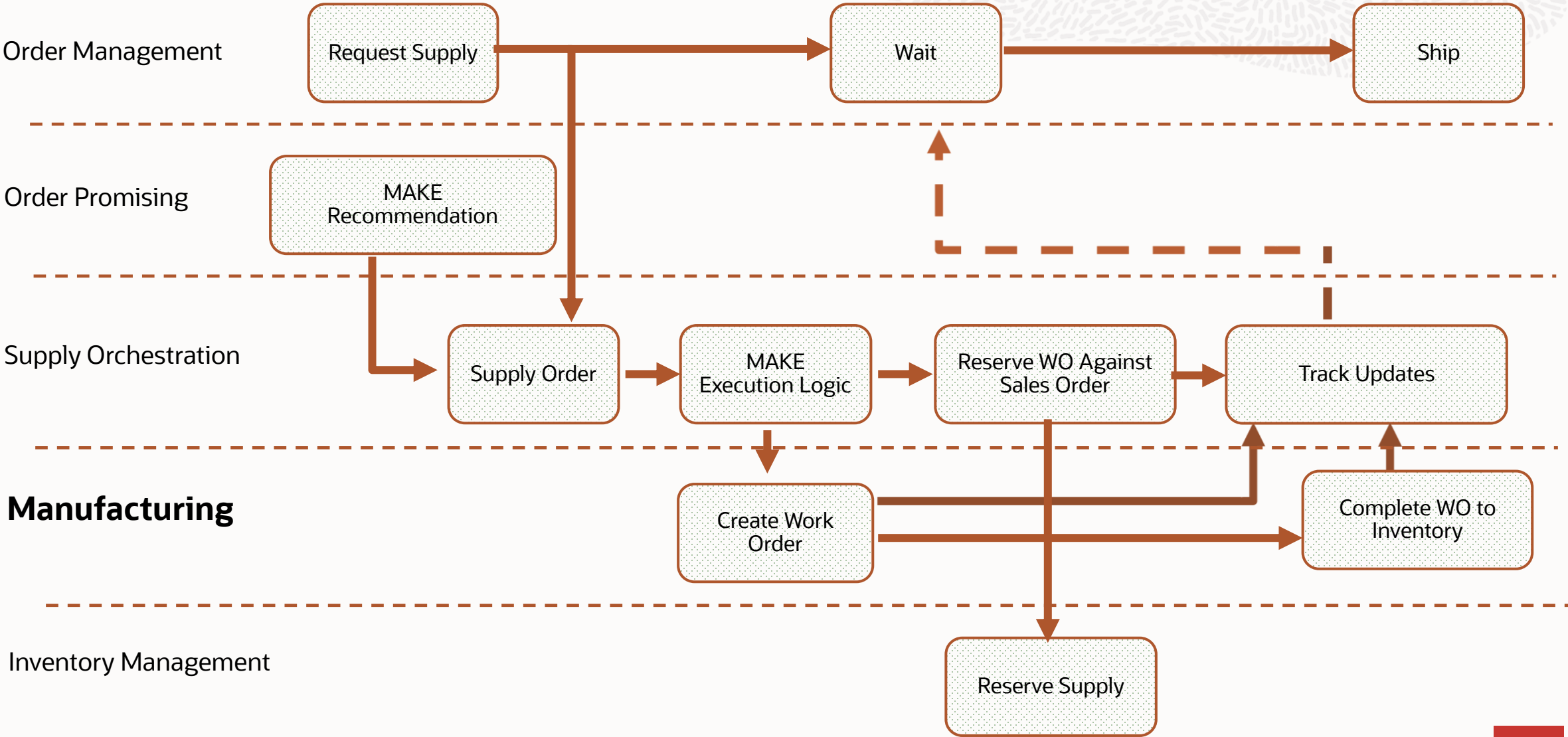
On-hand – Reservation of on-hand supply in the fulfillment organization

*Supply document - Reservation

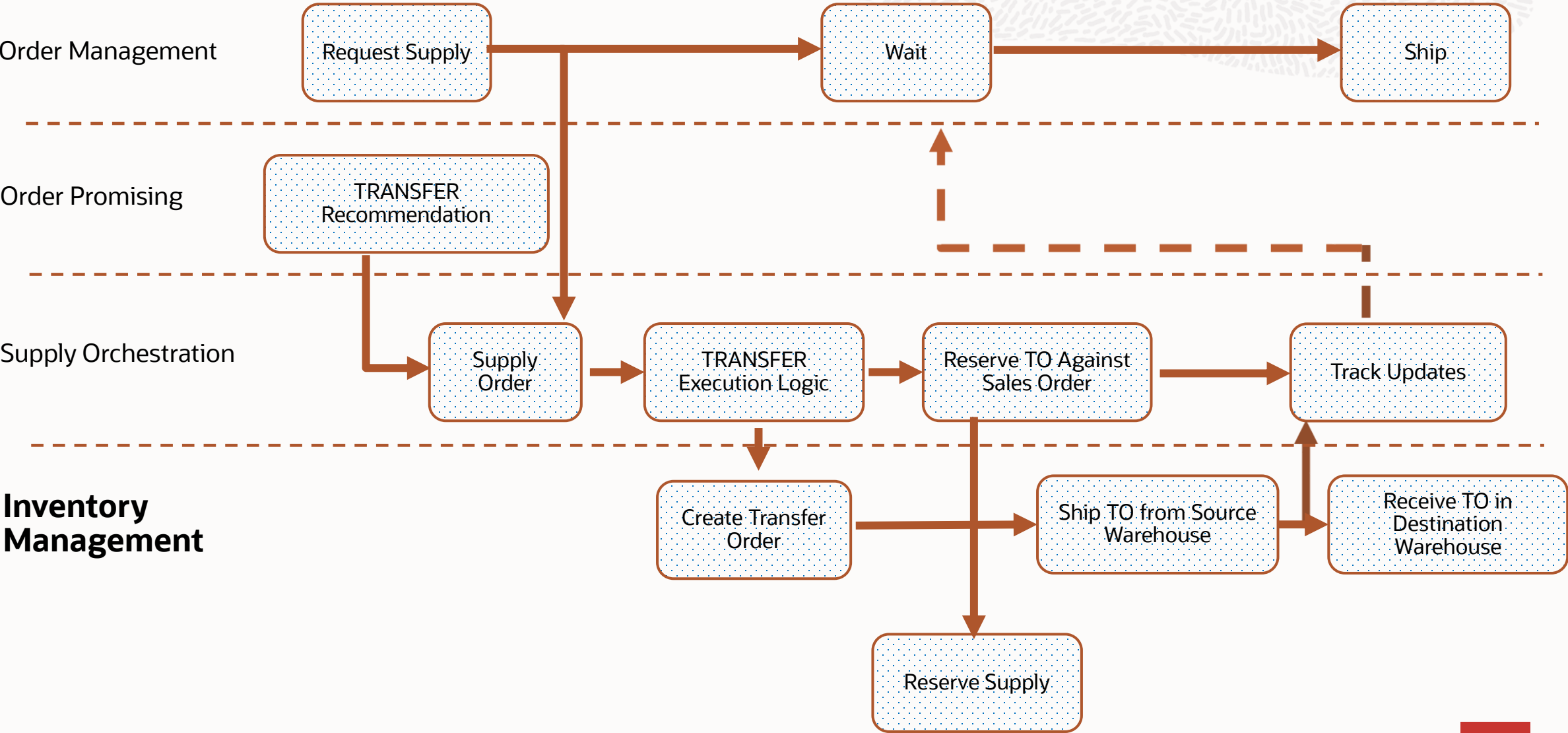
Back to Back Fulfillment – Buy



Back to Back Fulfillment – Make



Back to Back Fulfillment – Transfer





Agenda

- Overview of Back to Back fulfillment process
- **Application Setups for Back to Back Fulfillment**

Summary of Application Setups

The Back-to-Back flow runs across multiple applications (Oracle SCM Cloud applications). Hence, the set ups that support the Back-to-Back flow are also spread across multiple applications. Some of these set ups can be performed in the Functional Set up Manager (FSM), while certain others are accessible only through application-specific setup screens.

Cloud Applications involved

- Product Management
- Global Order Promising (GOP)
- Order Management
- Supply Chain Orchestration (SCO)
- Manufacturing
- Procurement
- Inventory Management

Setups

1. Common (or flow-agnostic) setups that include (and are not restricted to) setting up users, employees, currencies, enterprise structures, security, general ledger, financials, payables, receivables, tax, subledger accounting, costing, items, catalogs, units of measure, pricing, procurement, inventory, shipping, manufacturing, carriers & shipping methods and transit times
2. Core application configuration like flexfields, profile options, document sequences, lookups and attachments
3. Generic Supply Chain Management setups that apply for all Back-to-Back flow supply types
4. Specific setups that apply only to a particular supply type of the Back-to-Back flow

Product Setup

Set the Back to Back enabled check box to Yes in the fulfillment organization. If this flag is set to “Yes”, Order Management will send a request for supply and GOP will send a supply recommendation to SCO and the Back-to-Back fulfillment process will be executed.

Edit Item: AS49000_B2BT (V1)

Warehouse for Item Definition

Translation Editor | Actions | Save | Cancel

Item Status: Active
Lifecycle Phase: Production
User Item Type: Purchased Item
Pack Type: Base Unit or Each

Item Organization: Sales and Order Management

Order Management

Customer Ordered: Yes
Customer Orders Enabled: Yes
ATP Components: None
Picking Rule:
RMA Inspection Required: No
Eligibility Rule:
Internally Transferable: Yes

Order Orchestration

Order Management Transaction Enabled: Yes
Order Management Indivisible:

Transfer Orders Enabled Yes
Check ATP None
Returnable No
Financing Allowed
Sales Product Type
Back-to-Back Enabled Yes
Default Sales Order Source Type Internal

Back-to-Back Enabled for Item in Shipping Warehouse

Note- If this flag is not set, the standard order fulfillment process in Order Management will be executed.

Global Order Promising – ATP Setups

Setting up of Available to Promise or ATP Rules to support the Back-to-Back flow is similar to how ATP Rules are set up for standard order promising. Assign the ATP Rule either to a Category, Item, Organization or Item/Organization (Assignment Basis). This sets the criteria for when this ATP rule will be used.

Select “Search components and resources” if Make recommendations are required

Edit ATP Rule: Supply Chain Search ATP Rule

* Name Supply Chain Search ATP Rule

Description

ATP Rule Criteria ATP Rule Assignment

Promising Attributes

Promising Mode ☒ Supply chain availability search ☐ Lead time based ☐ Infinite availability based

☒ Search components and resources

Lead Time Considered

☒ Enable profitable to promise search

User-Defined Lead Time in Days

☒ Respect allocation constraints

Supply Chain Availability Search Attributes

Supply Types

☒ On hand

☒ Purchase orders

☒ Supplier requisitions

☒ Internal requisitions

☒ In-transit supplies

☒ Discrete WIP

☒ Nonstandard WIP

☒ Planned supply

Demand Types

☒ Fulfillment lines

☒ Dependent WIP demand

Infinite Availability Time Fence Definition

Infinite Availability Fence Definition

Total lead time

User-Defined Fence in Days

Past-Due Demand Considered in Days

Past-Due Supply Considered in Days

ATP Time Fence Specification

User-Defined Fence in Days

 10

Past

ATP

Define ATP Rule of type Supply Chain Availability Search

All required supply types must be selected

Time Fence must be set to a large value if long lead time support required



Global Order Promising – Sourcing Rule Setups

Global Order Promising looks through sourcing to determine what type of supply recommendation to generate at the fulfillment organization.

Create Sourcing Rule

* Name

Local_Sourcing_At_D1_Org

Description

Sources that D1 can source from

Organization Assignment Type

Global

Local

Organization

D1

Planning active

Sourcing Rule Effective Dates

Actions

View

+

×

Detach

Start Date

End Date

03/26/2015

Effective Start Date 03/26/2015: Sources

Actions

View

Format

+

×

Freeze

Detach

Wrap

Type	Organization	* Allocation Percent	* Rank	Shipping
Buy from		100	3	
Make at	D1	100	2	
Transfer fro	M1	100	1	

Columns Hidden 3

Scenario	Recommendation
Supply available at fulfillment organization	Generate on-hand recommendation
Supply available at upstream organization defined in the local sourcing rule	Generate Transfer recommendation
Supply can be made in the fulfillment organization	Generate Make recommendation
Supply available at supplier	Generate Buy recommendation



Manufacturing Setups – Make Flow

For GOP to recommend a Back-to-Back Make supply source, Work Definitions should be defined and collected. Any item that is designated as a candidate for the Back-to-Back Make flow should have a Work Definition in Manufacturing.

The screenshot displays the 'Edit Work Definition Details' for 'CN97444 - CN97444'. The top navigation bar includes 'Overview', 'Manage Work Definitions', and the current tab 'Work Definition: CN97444 - CN97444'. The main header shows 'Edit Work Definition Details: CN97444 - CN97444' with a 'Search: Work Definition' bar. Below this, there are fields for 'Version 1', 'Start Date 5/1/15 9:44 PM', 'End Date', 'Item Revision A', and 'Date 5/1/15 9:44 PM'. The 'Actions' menu includes 'Save', 'Save and Close', and 'Cancel'.

The central area shows a process flow diagram with two operations:

- 10 OP10**: M1 Work Center, 5/1/15 9:44 PM - Planning : 100 %
- 20 OP20**: M1 Work Center, 5/1/15 9:44 PM - Planning : 100 %

Below the operations, there are three components:

- 2** CM69930 Keyboard - Internal
- 3** CM68377 10" Plasma Monitor
- 1** T3L T3 Labor

The right side of the interface shows the 'Item Structure: Primary' tree, which includes the following items:

- CN97444 Envoy...
- SB32982 Manual Set
- CM68377 10" Plasm...
- CM69930 Keyboard ...
- CM28287 Optiball...
- CM89108 Power /...
- CM86324 Packing...
- SB10299 Cover...
- CM67433

Procurement Setups – Buy Flow

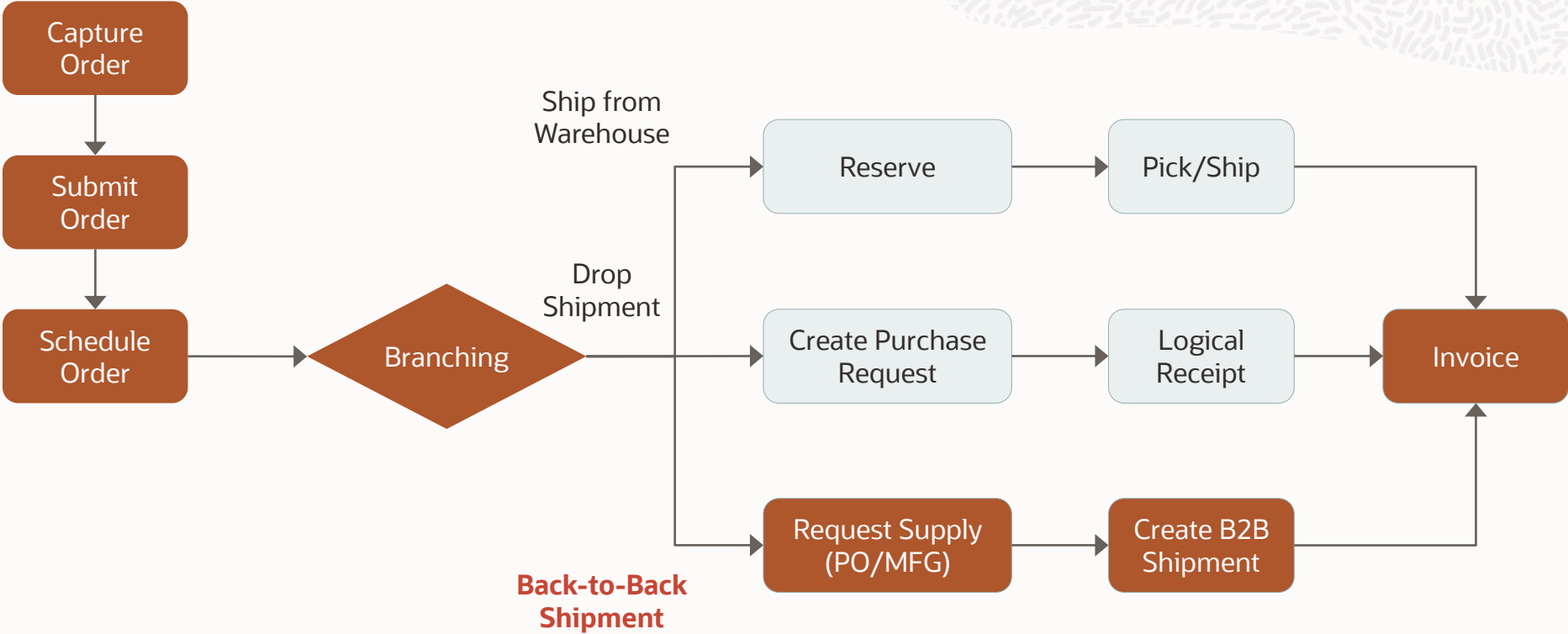
Creation of Blanket Purchase Agreements (BPAs) is an optional setup and may be considered necessary in an organization that requires complete automation in the Purchase Requisition to Purchase Order conversion process. By setting up a BPA with a specified supplier/supplier site for a Back-to-Back item, the process of creation of purchase orders from purchase requisitions and the approval process of the purchase orders can be automated.

- ❖ Set up blanket purchase agreement
- ❖ Set auto-approval of requisitions
- ❖ Select the Automatically Generate Orders option on Agreement

The screenshot shows the 'Edit Document (Blanket Purchase Agreement): 1002344' interface. The 'Controls' tab is active. The 'Business Unit Access' section shows 'Requisitioning BU' as 'Vision Operations' and 'Purchasing Site' as 'Scope Austin'. The 'Automatic Processes' section is expanded, showing 'Order Creation Options' with the following settings:

- ☒ Automatically generate orders
- ☒ Automatically submit for approval
- ☐ Group requisitions
 - Use customer sales order
- ☐ Group requisition lines
 - Use requested date
 - Use ship-to organization and location

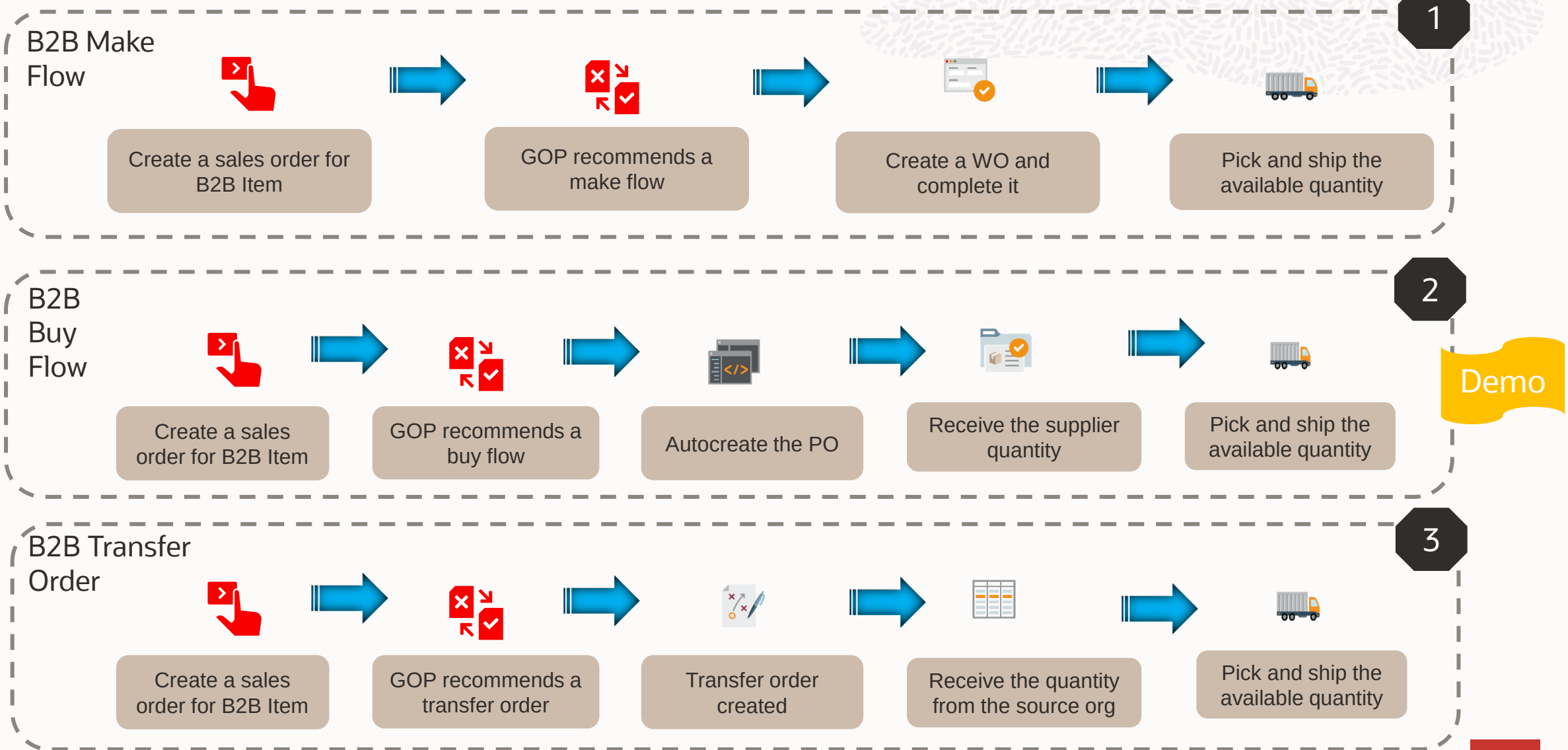
How is the fulfillment process selected by sourcing



Standard Order	Scheduling Result = Internal Warehouse	Back-to-Back Enabled = No
Drop Shipment	Scheduling Result = Supplier	
Back-to-Back	Scheduling Result = Internal Warehouse	Back-to-Back Enabled = Yes



How is the fulfillment process selected by sourcing



Control Fulfillment Flow – Additional Use Cases

You can control the fulfillment by B2B/Drop Ship etc using a combination of item attribute, sourcing rules and manual overrides.

1. Route the order for the same item either via B2B Buy or drop shipment

	Setup	Remarks
1	Item	B2B Flag = Y
2	Global sourcing rule	Assignment @ Item Level Transfer from Org 003
3	Local sourcing Rule	Assignment @ Org 003-Item level Buy from Supplier XYZ

Expected Behavior	
Do not specify Org	B2B Buy Flow used
Specify the supplier directly on the order	Drop shipment Flow used

2. Route the order for the same item using one of Onhand or Transfer flow.

	Setup	Remarks
1	Item	B2B Flag = Y
2	Global Sourcing Rule	Assignment @ Item Level Transfer from 002 Rank 1 Transfer from 003 Rank 2
3	Local sourcing rule	Assignment @ Org 003 - Item Level B2B Buy from Supplier XYZ
4	Local sourcing Rule	Assignment @ Org-Item level (002 org) Transfer from 003

Expected Behavior	
No onhand in 002/003	B2B Buy Flow used
Onhand	B2B ATP Flow (Use onhand)
Provide Org 002 on order and onhand available in 003	B2B Transfer Flow used



Implementation Considerations

Consideration	Remarks
Item Templates	In general, all items identified for Back-to-Back fulfillment should be MPS/MRP planned in the item's Planning specifications in Product Information Management (PIM). An optimal method of ensuring that such items have all requisite item attributes set is to apply, at the time of creating a new item, either the seeded "Purchased Item" template or the seeded "Finished Good" template or both depending on the Back-to-Back flow variants implemented
Default Buyer and List Price	For items identified for the Back-to-Back Buy flow, it is recommended to set a default buyer and a list price for the item in Purchasing specifications in Product Information Management (PIM)
Running Collections	The frequency at which planning collects data and this data is refreshed to the order promising server has a significant impact on order promising accuracy and results. The decision on the frequency at which both these activities are scheduled will primarily depend on organizational considerations
Transit Times and Default Shipping Method	Another key factor that governs order promising is transit times. Ensure that transit times are set up (with default shipping method) to account for movement of goods between two internal locations, from suppliers (external locations) to internal locations and from internal locations to external locations (customers). Transit times can be set up at multiple hierarchical levels and judicious planning in setting them up can help in ensuring coverage for lead times involved in movement of goods. Setting up transit times is a common SCM setup that has to precede setups for Back-to-Back supply creation and fulfillment
Item Costing	It is important to complete all item costing setups prior to using an item in the Back-to-Back flow. Not only do item costs impact margin analysis, they are critical for certain Back-to-Back flows. For the Back-to-Back Transfer flow it is vital to ensure that the ordered item has a cost associated to it at least in the source organization. The transfer price of the item is derived based on its cost in the source organization

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Appendix
